6 Financial Models to Become Disgustingly Good at Finance

What each model is, how to build it, and when it gets used.

1. The 3-Statement Model

The foundation every other model is built on.

WHAT IT IS

Links the income statement, balance sheet, and cash flow statement into one integrated model, so a change in any assumption flows through all three statements and the balance sheet still balances.

HOW TO BUILD IT

1. Build revenue and cost assumptions to project the income statement down to net income.
2. Start the cash flow statement with net income, add back non-cash items (D&A, stock comp), and adjust for changes in working capital.
3. Add investing (capex) and financing (debt, dividends, buybacks) cash flows.
4. Roll the balance sheet forward: ending cash comes from the cash flow statement, retained earnings grow by net income less dividends.
5. Check that assets equal liabilities plus equity every period.

WHEN IT IS USED

Budgeting, forecasting, credit analysis, and as the engine behind DCF, LBO, and merger models.

2. Discounted Cash Flow (DCF)

What a business is worth based on the cash it will generate.

WHAT IT IS

Values a company by projecting its future free cash flows and discounting them back to today at a rate that reflects risk. The result is intrinsic value, independent of what the market says today.

HOW TO BUILD IT

1. Project unlevered free cash flow for 5 to 10 years: EBIT × (1 – tax) + D&A – capex – change in NWC.
2. Calculate WACC as the discount rate, using CAPM for the cost of equity.
3. Estimate terminal value with the Gordon growth method or an exit multiple.
4. Discount the cash flows and terminal value to present value and add them up to get enterprise value.
5. Bridge to equity value: subtract net debt, then divide by diluted shares for a per-share value.

WHEN IT IS USED

Equity research, fairness opinions, long-term investing, and any situation where you want a view independent of market sentiment.

3. Comparable Company Analysis

Value a company by looking at what similar companies trade for.

WHAT IT IS

Also called trading comps. You find publicly traded peers, calculate their valuation multiples, and apply those multiples to your target. It tells you what the market is paying right now.

HOW TO BUILD IT

1. Pick a peer group with similar industry, size, growth, and margins.
2. Gather each peer's market data (share price, diluted shares, debt, cash) and financials.
3. Calculate multiples such as EV/Revenue, EV/EBITDA, and P/E.
4. Find the median and quartiles of each multiple, throwing out outliers.
5. Apply the range to your target's metrics to get an implied valuation range.

WHEN IT IS USED

IPO pricing, pitch books, quick sanity checks on a DCF, and almost every valuation football field.

4. Leveraged Buyout (LBO)

How private equity turns borrowed money into big returns.

WHAT IT IS

Models the purchase of a company funded mostly with debt. The company's own cash flow pays down that debt over 3 to 7 years, and the sponsor sells at the end. The goal is to find the returns (IRR and MOIC) the deal can achieve.

HOW TO BUILD IT

1. Set the purchase price (usually an EBITDA multiple) and the sources and uses of funds.
2. Structure the debt: revolver, term loans, high-yield bonds, and the sponsor's equity check.
3. Project the business and its free cash flow, then use that cash to pay down debt each year.
4. Assume an exit, usually at an EBITDA multiple, in year 5.
5. Calculate equity proceeds at exit, then IRR and MOIC on the sponsor's equity.

WHEN IT IS USED

Private equity deals, leveraged finance, and setting a valuation floor (what a financial buyer could pay).

5. Sum of the Parts (SOTP)

When one company is really several businesses in one.

WHAT IT IS

Values each business segment on its own, using the method and multiples that fit that segment, then adds them together. A conglomerate's segments often deserve very different valuations.

HOW TO BUILD IT

1. Split the company into its reportable segments.
2. Choose the right valuation method for each (comps, DCF, or precedents).
3. Value each segment using peers that match that specific business.
4. Add the segment values to get total enterprise value, then subtract unallocated corporate costs and net debt.
5. Compare the result to the current market cap to spot a 'conglomerate discount'.

WHEN IT IS USED

Conglomerates, breakup or spin-off analysis, activist campaigns, and companies like Amazon (retail plus AWS) or Alphabet.

6. Dividend Discount Model (DDM)

Value a stock based on the dividends it pays you.

WHAT IT IS

Treats a stock's value as the present value of all future dividends. It works best for mature, stable companies that pay out a consistent share of their earnings.

HOW TO BUILD IT

1. Project dividends per share, often from earnings and a payout ratio.
2. Calculate the cost of equity with CAPM (this is the discount rate, not WACC).
3. For a stable company, use the Gordon growth formula: Value = D_1 / (r – g).
4. For changing growth, model a high-growth stage, then a terminal stage at a stable rate.
5. Discount everything back to today for the value per share.

WHEN IT IS USED

Banks, insurance companies, utilities, REITs, and other steady dividend payers.

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